

DA Market Securities, Inc. FIRST NEWS

Employing Intelligent Investing Monday, 18 May 2026 | For the Trading Session of 18 May 2026

PSEI SESSION SNAPSHOT — 15 MAY 2026

CLOSE	CHANGE	% CHANGE	DAY'S RANGE	TURNOVER (₱Mn)
5,976.77	▼ 38.26	-0.64%	5,969 – 6,020	~₱6,982

ADVANCES	DECLINES	UNCHANGED
77	103	66
52-WK HIGH	52-WK LOW	
AXLM OPM RRHI	ABS ARA BHI BLOOM EEI	
RSI OB (>70)	RSI OS (>30)	
ABG APVI AXLM RRHI SGP	ABS CA CBC SRDC PAL	

SIGNAL	LEVEL / STATUS	INTERPRETATION
Trend (Short-Term)	Below 6,000 — key psychological support	Bearish Bias
Foreign Flow (Session)	Net Selling ₱195.4Mn Full May: \$240.2Mn NSB	Sustained Selling
52-Week High Breakouts	AXLM OPM RRHI (tender-driven)	Monitor / Event-Driven
RSI Oversold (<30)	ABS CA CBC SRDC PAL — potential bounce zone	Selective Opportunity

ASIA-PACIFIC & GLOBAL MARKETS

INDEX	MAY 15	MAY 18	% CHG	SIGNAL
Dow Jones (US)	50,063.46	49,526.17	-1.07%	▼
S&P 500 (US)	7501.24	7,408.50	-1.24%	▼
NASDAQ (US)	26,635.14	26,225.14	-1.54%	▼
PSEi (Philippines)	6,014.00	5,976.77	-0.63%	▼
Nikkei 225 (Japan)	62,653.00	61,409.00	-1.99%	▼
SHCOMP (China)	4,180.00	4,135.00	-1.08%	▼
Hang Seng (HK)	26,388.00	25,962.00	-1.61%	▼
KOSPI (Korea)	7,844.00	7,493.00	-4.47%	▼
SENSEX (India)	75,397.00	75,237.00	-0.21%	▼
TWSE (Taiwan)	41,761.00	41,172.00	-1.41%	▼
ASX 200 (Australia)	8,639.00	8,630.00	-0.10%	▼
KLCI (Malaysia)	1,744.00	1,740.00	-0.23%	▼
JCI (Indonesia)	6,858.00	6,723.00	-1.97%	▼
STI (Singapore)	4,995.00	4,989.00	-0.12%	▼
SET (Thailand)	1,004.00	993.00	-1.10%	▼
VN-Index (Vietnam)	1,898.00	1,921.00	1.21%	▲

COMMODITIES

COMMODITY	MAY 15	MAY 18	% CHG	NOTE
WTI Crude (\$/bbl)	101.02	105.42	4.36%	Iran war premium
Brent Crude (\$/bbl)	105.70	109.26	3.37%	Hormuz risk
Gold COMEX (\$/oz)	4,706.70	4,561.90	-3.08%	Profit-taking on yield rise
Silver COMEX (\$/oz)	89.37	77.55	-13.23%	Risk-off selling
Copper COMEX (¢/lb)	667.90	629.50	-5.75%	China demand worry
Nickel (\$/MT)	19,131.72	18,687.37	-2.32%	Industrial slowdown
Coal (\$/MT)	132.50	131.70	-0.60%	Slight easing
Corn (¢/bu)	480.75	455.75	-5.20%	US-China deal supply
Wheat (¢/bu)	675.50	635.75	-5.88%	Supply relief
Cocoa (\$/MT)	4,393.00	4,393.00	0.00%	Unchanged
Sugar (¢/lb)	15.38	14.80	-3.77%	Demand softness

FIXED INCOME & CURRENCY

INSTRUMENT	MAY 15	MAY 18	CHG	IMPLICATION
PHL 10yr Bond (%)	7.225	7.370	+0.145	Yield rising — credit cost pressure
US 10yr Bond (%)	4.465	4.595	+0.130	Yield surge — risk-off globally
USD-PHP	61.411	61.641	+0.230	Peso softening — import cost risk
USD-JPY	157.86	158.14	+0.280	JPY weakness persists
EUR-USD	1.4577	1.1677	-0.290	USD strengthening vs EUR

GLOBAL MARKETS OVERVIEW**Wall Street Retreats on Yield Surge & Tech Correction**

Global equity markets endured a broad-based selloff Friday as a confluence of surging bond yields, oil-driven inflation fears, and a sharp reversal in high-flying semiconductor and artificial intelligence stocks prompted investors to lock in gains. The Dow Jones Industrial Average declined to 49,526, the S&P 500 slipped to 7,408, and the NASDAQ fell to 26,225 — ending an otherwise record-setting week on a cautionary note. The catalyst was a combination of geopolitical risk premium in energy markets, with Brent crude breaching \$109/bbl and WTI topping \$105/bbl on lingering Middle East tensions, and a spike in the US 10-year Treasury yield to 4.595% — a level that historically compresses equity multiples, particularly for growth-oriented technology names.

US-China Trade Deal: \$17 Billion Agricultural Commitment

China committed to purchasing at least \$17 billion in US agricultural products annually across 2026, 2027, and 2028 — a concession that provided a diplomatic counterweight to the broader market anxiety. While the deal represents tangible progress on trade normalization, commodity markets reflected mixed signals: corn and wheat prices slipped on the supply-side implications of Chinese buying commitments, while cocoa held flat. Markets also absorbed news that President Trump's latest financial disclosures revealed more than 3,700 personal trades in Q1 — a disclosure that renewed debate over conflicts of interest even as trade diplomacy advanced.

Bond Vigilantes Reassert Pressure; Asia Wobbles

Government bond yields surged globally from Tokyo to Washington, reflecting intensifying concerns that war-driven commodity price shocks could compel central banks to delay or reverse rate-cutting cycles. Asian bourses bore the brunt, with KOSPI tumbling to 7,493, the Hang Seng falling to 25,962, and Shanghai Composite slipping to 4,135. Singapore Air reported an 88.4% April passenger load factor, illustrating that demand-side fundamentals remain solid

even as macro headwinds build. Nikkei 225 dipped to 61,409 amid yen weakness, while Vietnam's VN-Index bucked the regional trend, rising to 1,921 — a potential signal of continued frontier market inflows. Gold fell sharply to \$4,561 as a stronger dollar and rising real yields eroded the metal's safe-haven appeal.

PHILIPPINES MARKET STRATEGY

PSEi Closes Below 6,000 — Defensive Posture Warranted

The Philippine Stock Exchange index (PSEi) closed Friday at 5,976.77, down 38.26 points or 0.64%, breaching the psychologically significant 6,000 threshold for the first time in the session and underscoring persistent selling pressure. The bourse's most active issue, International Container Terminal Services (ICT), led value turnover at ₱1.23 billion, followed by Globe Telecom (GLO) at ₱726 million and BDO Unibank (BDO) at ₱400 million — a concentration in blue-chip defensives consistent with risk-reduction activity. The session's breadth skewed negative, with 52-week lows recorded by ABS, ARA, BHI, BLOOM, and EEI, while RSI oversold conditions emerged in PAL, CA, CBC, SRDC, and ABS, signaling potential technical rebounds for patient accumulators.

Foreign Capital Continues Month-Long Retreat

Overseas investors were net sellers for the session at \$3.167 million (₱195.4 million), bringing the May cumulative net foreign selling total to \$240.2 million and year-to-date net foreign selling to \$59.7 million. Despite the aggregate selling pressure, foreign funds remained selectively active on the buy side in key names — including AREIT, CREIT, RCR, RLC, GLO, ICT, MER, DNL, FCG, MONDE, ABG, CNVRG, PGOLD, APX, and PLUS — suggesting institutional preference for income-generating REITs, utilities, and select consumer staples. On the sell side, broad-based liquidation covered banking heavyweights (BDO, BPI, MBT, SECB), energy (ACEN, CREC, FGEN, SGP), F&B (JFC, URC, GSMI), and conglomerates (AC, AEV, SM, JGS, DMC) — indicating a continued flight away from cyclical and high-beta names.

MOST ACTIVE STOCKS — 15 MAY 2026

TICKER	LAST PRICE (₱)	VALUE TURNOVER (₱ Mn)	NOTE
ICT	805.00	1,230	Foreign BUY — REIT exposure
GLO	1,805.00	726	Defensive telecom flow
BDO	117.50	400	Banking sector liquidation
JFC	140.60	296	IPO pipeline catalyst
BPI	90.35	294	Bank sector profit-taking
SM	599.00	151	Conglomerate core holding
ALI	15.38	149	ALI buy-back ongoing
APX	16.80	123	Mining / resources play
PLUS	12.72	117	Online gaming regulation
MER	630.00	116	Utility — defensive buy
RCR	7.30	112	REIT sector active

CORPORATE & MARKET NEWS

[AREIT] Q1 Net Income Surges 23.8% to ₱2.6 Billion on Asset Contributions and Strong Leasing

AREIT, Inc. posted a 23.81% year-on-year increase in first-quarter net income to ₱2.6 billion, excluding fair value changes, driven by contributions from eight commercial properties infused in 2025 spanning Cebu, Davao, and Cagayan de Oro. Revenue climbed 21% to ₱3.5 billion while EBITDA rose 23% to ₱2.6 billion, reflecting robust leasing demand and stable occupancy across the REIT's diversified office-and-mall portfolio. The board declared a ₱0.62 per share cash dividend payable June 11 to shareholders of record May 27, maintaining a consistent payout trajectory. CEO Alberto de Larrazabal signaled continued growth as the company advances its next pipeline of acquisitions, including a pending ₱19.5 billion property-for-share swap for Ayala Center Cebu and Ayala Malls Feliz — which, once cleared by regulators, would lift total AUM to approximately ₱159 billion. Foreign funds were net buyers of AREIT during the session, reinforcing institutional conviction in the name. (Source: BusinessWorld, Insider.ph)

Analysis: AREIT's Q1 print is a standout within the broader Q1 earnings season — double-digit revenue and profit growth, underpinned by visible acquisition pipeline, rising dividends, and confirmed regulatory pathway to ₱159Bn AUM. At current levels near ₱40, the stock trades at a meaningful discount to NAV and offers one of the highest quality income-growth profiles in the PSE universe. Foreign buying on May 15 further validates institutional interest. The pending Ayala Center Cebu and Malls Feliz swap represents a step-change catalyst. Near-term technical support sits at ₱40.55 (Fib 1.000 base); upside recovery targets ₱42.45 (0.382) and ₱43.65 (0.618).

Stance: 🟢 **ACCUMULATE** — Target ₱45.50 (Fib 1.000 extension). Accumulate on pullbacks to ₱40.55–41.75 range.

[RRHI] Robinsons Retail Files PSE Delisting Petition, Targets July 28 Exit at ₱48.30/Share

Robinsons Retail Holdings, Inc. formally filed a petition with the Philippine Stock Exchange for voluntary delisting, targeting July 28, 2026 as the effective date, following shareholder approval at its May 12 annual meeting with 82.82% of votes in favor. The delisting is anchored on an ₱11.25 billion tender offer by Gokongwei family holding vehicle JE Holdings, Inc. at ₱48.30 per share — a 23% premium to the March 26 close and a 32.23% premium to the one-year VWAP of ₱36.53. The tender offer window runs May 25 to July 6, with settlement on July 15. JE Holdings seeks to raise its stake from 78.15% to at least 95% to satisfy PSE delisting rules. Abacus Securities advised clients to reject the offer, noting it stands 41% below NAV of ₱81.57 per share and values RRHI at just 1.85x projected 2026 EBITDA. (Source: BusinessWorld, Manila Bulletin, Philstar)

Analysis: This is a binary event — accept or hold through potential delisting risk. The tension between Abacus's fundamental valuation gap (offer 41% below NAV) and the practical illiquidity risk of holding unlisted RRHI shares is the core dilemma. Minority resistance could force JE Holdings to sweeten the offer, particularly given strong prior-year earnings (₱6.7Bn core income, +6% in 2025) and visible recurring revenues. However, investors who miss the tender and fail to gain 95% threshold delisting could be stranded in an illiquid position. RRHI hit a 52-week high in this session, indicating the market has broadly priced in the tender offer premium. RSI overbought signal flags caution on chasing above ₱48.

Stance: 🟡 **TENDER** — Accept at ₱48.30 if liquidity is the priority. Institutional investors with conviction on intrinsic value (₱81.57 NAV) may hold out for a revised offer.

[ROCK] Rockwell Land Q1 Profit Jumps 67% to ₱1.29 Billion on Residential and Commercial Surge

Rockwell Land Corp. reported a 67% rise in Q1 attributable net income to ₱1.29 billion from ₱773 million a year earlier, driven by simultaneous strength across its residential and commercial segments. Consolidated net income surged 52% to ₱1.43 billion, while revenues climbed 45% to ₱6.46 billion — residential development contributing 75% of top-line, with commercial activities comprising 25%. EBITDA advanced 42% to ₱2.72 billion as residential operations delivered 60% of that figure. The results reflect the full-quarter contribution of the ₱21.6 billion Alabang Commercial Corp. acquisition (owner of Alabang Town Center), which added 137,000 sqm of leasable space and lifted the company's retail and office portfolio by 58%. Management noted that the premium residential segment remains insulated from mid-market condo oversupply, with Edades West, Nara Residences, and 8 Benitez leading reservation activity. (Source: BusinessWorld, Manila Bulletin)

Analysis: ROCK's Q1 print is exceptional — 67% net income growth and 45% revenue expansion are among the strongest in the Q1 earnings cohort. The ATC acquisition is immediately accretive, adding recurring lease income and diversifying revenue away from development-cycle risk. The premium positioning shields ROCK from sector headwinds around mid-market oversupply. At current prices near ₱2.01 (post-2025 FY filing reaction), ROCK represents a high-conviction recovery play with visible earnings growth catalysts well into 2027. The commercial segment's ATC revenues have yet to be fully annualized — Q2 and Q3 should show even stronger commercial contributions.

Stance: 🟢 **ACCUMULATE** — ROCK offers a rare combination of premium residential demand, growing recurring income (ATC), and a 67% profit growth trajectory.

[MER · SMC] Meralco and Sual Power File Joint ERC Petition for 200-MW Supply Deal, ₱631M Consumer Savings Projected

Manila Electric Co. (Meralco) and Sual Power, Inc. (SPI), a unit of San Miguel Global Power Holdings, filed a joint petition with the Energy Regulatory Commission (ERC) for approval of a four-year, 200-megawatt baseload power supply agreement. SPI emerged as the winning bidder in Meralco's competitive selection process, offering the lowest rate of ₱4.2955 per kWh — approximately ₱0.36 per kWh below the equivalent spot market rate of ₱4.6560 per kWh, generating an estimated ₱631 million in consumer savings over the deal's term. The agreement reflects Meralco's ongoing effort to diversify and stabilize its power procurement amid elevated electricity spot prices driven by Middle East conflict and oil market volatility. Meralco separately reported a 4% rise in Q1 reported net income to ₱10.83 billion, with core income rising 2% to ₱11.43 billion despite a 2% volume decline in distribution. (Source: BusinessWorld, Philstar)

Analysis: The Meralco-SPI deal is a credit positive for both parties: Meralco locks in below-spot supply for four years while delivering savings visibility to consumers — a regulatory goodwill play that could support future rate applications. For SMC's power subsidiaries, the deal is a revenue visibility anchor. MER remains one of the most defensive names on the PSE, with near-monopoly distribution franchise, growing generation segment (MGGEN power generation EBITDA +51% YoY), and improving solar capacity. At ₱630 close on May 15, MER trades at an attractive yield on projected 2026 dividends. Foreign buyers were net purchasers of MER in the session.

Stance: 🟢 **ACCUMULATE MER** — Defensive utility with improving earnings mix and dividend support. Near-term support ₱610, target ₱680.

[TEL] PLDT Q1 Profit Edges Down 1.77% to ₱8.87 Billion; Data & Enterprise Anchor Revenue Growth

PLDT, Inc. reported a 1.77% decline in Q1 attributable net income to ₱8.87 billion from ₱9.03 billion a year earlier, as a 5% increase in expenses to ₱42.75 billion outpaced a 2.23% rise in revenue to ₱56.51 billion. Core income, however, rose 2% to ₱9.09 billion — a more instructive performance indicator — supported by data and broadband revenues of ₱41.9 billion (86% of net service revenues), enterprise ICT growth of 17% YoY, and a 19% increase in digital bank Maya's bottom line. The company's fiber network expanded to 1.29 million cable km, with total subscribers rising 4% to 68.8 million. Separately, management noted limited near-term impact from satellite competitors entering the Philippine market, noting differentiated positioning in enterprise, fixed, and mobile infrastructure. PLDT also announced a plan to acquire the remaining 65.1% of Radius Telecoms for ₱2.935 billion to consolidate fiber assets. (Source: BusinessWorld, Inquirer, Context.ph)

Analysis: *PLDT's headline miss obscures a healthier core story: core income growth, rising data monetization, improving Maya financials, and a disciplined capex trajectory (₱10Bn in Q1 vs ₱10.8Bn prior year). The Radius Telecoms deal is a sensible fiber consolidation play. Foreign funds sold TEL in the May 15 session, likely reflecting macro-driven risk reduction rather than fundamental deterioration. At ₱1,805/share (GLO reference), TEL's sister name tells a similar dividend-yield-and-data story. TEL's challenge remains managing legacy service declines while accelerating enterprise and digital bank growth — a transition that is tracking well.*

Stance: 🟡 **MONITOR** — Core business on track; headline EPS softness is transient. Accumulate on further weakness below ₱1,450.

[JFC] Jollibee Maintains Highlands Coffee IPO and US International Listing Timeline Despite Cost Pressures

Jollibee Foods Corp. (JFC) reaffirmed that geopolitical-driven input cost inflation is not affecting its planned initial public offering of Highlands Coffee in Vietnam, targeting a Q1 2027 listing, and maintained its timeline for a US stock exchange listing of its international business entity, Jollibee Foods Corporation International (JFCI), slated for completion in 2027. JFC Group CFO Richard Shin stated at the PSE STAR event that "there is absolutely no correlation to inflation to our listing time" for Highlands Coffee. This assurance comes despite JFC reporting a 38.8% decline in Q1 attributable net income to ₱1.47 billion, reflecting an 11.7% increase in direct costs and geopolitical supply chain disruption, even as consolidated revenues rose 9% to ₱76.55 billion and systemwide sales grew 10.3%. The international segment posted 13.5% SWS growth, led by Compose Coffee, Highlands Coffee, and Jollibee North America. (Source: BusinessWorld, Fortune)

Analysis: *The Q1 profit drop is significant but largely attributable to input cost headwinds — a temporary, exogenous factor — rather than demand destruction. Revenue and systemwide sales growth of 9–10% confirms underlying volume strength. The Highlands Coffee and JFCI IPO timelines represent material valuation catalysts: a US listing would expose international investors to JFC's high-growth international platform and could re-rate the parent stock meaningfully higher. Foreign investors sold JFC in the May 15 session, likely on near-term earnings concern — a potential entry point for longer-horizon investors. JFC closed at ₱140.60 on May 15.*

Stance: 🟡 **MONITOR** — Near-term cost headwinds persist; medium-term IPO catalysts (Highlands Coffee, JFCI US listing) represent significant upside. Accumulate on weakness below ₱135.

[PGOLD] Puregold Shares Rally After Q1 Net Income Jumps 23.7% to ₱3.26 Billion

Puregold Price Club, Inc. closed at ₱45.85 per share on Friday — up 4.4% for the week — after reporting a strong Q1 performance that beat broader sector expectations. Consolidated net income rose 23.7% year-on-year to ₱3.26 billion, while gross revenue increased 12.1% to ₱58.78 billion, driven by positive same-store sales growth: Puregold stores posted 5.4% SSSG on higher basket sizes, and S&R Warehouse Clubs delivered 12% SSSG on stronger foot traffic. Gross margin improved to 20.1% from 19.6% as product mix shifted and pricing efficiency improved. PGOLD operated 790 stores as of end-March, comprising 685 Puregold stores, 33 S&R warehouses, and 72 S&R QSRs. Analysts cautioned that Middle East-driven oil costs and potential consumer spending softness may weigh on Q2, particularly in S&R's more discretionary segments. Foreign funds were net buyers of PGOLD on May 18. (Source: BusinessWorld, Inquirer, Insider.ph)

Analysis: *Puregold's Q1 is one of the cleaner beats in this earnings season — margin expansion alongside double-digit revenue and income growth in an inflationary environment speaks to the resilience of its value-retail positioning. S&R's 12% SSSG is particularly impressive and suggests the warehouse club format is gaining traction even as consumer budgets tighten. Near-term support at ₱45.90; first resistance at ₱47.15 per analyst guidance. The stock has outperformed the PSEi by over 20% YTD. In a stagflationary macro backdrop, defensive consumer staples with improving margins — like PGOLD — warrant overweight positioning.*

Stance: 🟢 **ACCUMULATE** — Q1 confirms value-retail resilience. Support ₱45.90; target ₱50.00 on continued earnings momentum.

[GMA7] GMA Network Q1 Profit Collapses 87% to ₱102 Million on Post-Election Ad Void

GMA Network, Inc. reported an 87% plunge in Q1 attributable net income to ₱102.47 million from ₱800.8 million a year earlier, as the absence of election-cycle political advertising spending — which materially boosted Q1 2025 comparisons — left the broadcaster absorbing high fixed production costs against sharply lower revenue. Gross revenues declined 30% to ₱3.26 billion while advertising revenue dropped 31% to ₱2.98 billion. Operating expenses fell only 9% to ₱3.32 billion, resulting in a near-breakeven operating position. Consumer product sales, however, rose 14% to ₱381 million — a positive signal for non-ad diversification. GMA also disclosed that the Makati RTC denied its petition to nullify the SEC's nine-year term limit on independent directors, a governance matter without material financial impact. (Source: BusinessWorld, Bilyonaryo)

Analysis: *The 87% profit decline is optically severe but structurally expected in the first post-election quarter — the 2025 mid-term cycle created an exceptionally high base. The more concerning structural signal is the growing mismatch between legacy TV advertising revenue and the shift of viewer and advertiser attention to digital platforms. GMA's cost structure remains heavy relative to its declining revenue base, and margin recovery may be limited without meaningful content monetization from digital channels. Shares remain an avoid for fundamental investors; technical oversold signals for ABS and related media names could create short-term trading bounces but are not investment-grade entries.*

Stance: 🟠 **AVOID** — Structural advertising headwinds and cost structure mismatch. No near-term earnings recovery catalyst visible.

[PIZZA] Shakey's Q1 Profit Falls 27% to ₱133.8 Million on Higher Costs and Flat Same-Store Sales

Shakey's Pizza Asia Ventures, Inc. reported a 27% decline in Q1 attributable net income to ₱133.8 million, impacted by expansion spending, demand-generation campaigns, softer consumer traffic, and one-off costs related to network restructuring. System-wide sales rose 14% to ₱6.4 billion on new store openings, while revenues climbed 13% to ₱4 billion — however, same-store sales were essentially flat, signaling that the underlying volume productivity per existing unit is not growing. Management indicated it may implement selective price increases to offset rising input costs while remaining sensitive to consumer price thresholds. CEO Vicente Gregorio said the company is "proactively optimizing G&A costs and driving savings across operations." Foreign investors sold JFC-related F&B names including URC and GSML in the session. (Source: BusinessWorld)

Analysis: *Flat SSSG amid double-digit system-wide sales growth driven purely by store expansion is a red flag for unit economics — new stores are diluting per-unit productivity. The inflationary backdrop (oil at \$105+ and Middle East supply disruptions raising freight/commodity costs) compounds margin pressure. Price increases may improve gross margins short-term but risk accelerating the SSSG deterioration. PIZZA is in a difficult operating environment; patient investors should await evidence of SSSG recovery before re-entry.*

Stance: 🚫 **AVOID near-term — Flat SSSG and margin compression signal challenging operating environment. Revisit at price discovery below ₱6.00.**

[FGEN] First Gen to Build Solar Rooftop System for Goldilocks Cebu Plant

First Gen Corp. announced it will construct a rooftop solar system for the Goldilocks bakeshop production facility in Cebu, expanding its renewable energy services into the industrial and food manufacturing segment. The project represents First Gen's continued push to grow its distributed energy and commercial & industrial (C&I) solar portfolio, complementing its larger clean energy generation assets. First Gen's parent, Lopez Holdings (LPZ), remained in focus over the week following the disclosure that the Lopez majority withdrew a resolution to remove Piki Lopez from the board — a corporate governance matter with implications for the group's long-term control structure. Foreign investors sold LPZ and FGEN in the May 15 session. (Source: BusinessWorld)

Analysis: *The Goldilocks solar project is incremental and commercially small, but signals First Gen's deliberate strategy to build recurring C&I solar revenue streams alongside its large-scale generation business. FGEN's broader renewable energy transition narrative — from natural gas toward geothermal and solar — remains a medium-term investment thesis. Near-term, foreign selling pressure on FGEN and energy names broadly reflects macro concerns around rate trajectory and energy cost uncertainty. Watch for FGEN Q1 earnings disclosure and updated renewable capacity guidance.*

Stance: 🟡 **MONITOR — Renewable transition on track; near-term foreign selling pressure. Revisit on clarity around Q1 earnings and LPZ governance resolution.**

[CNVRG] Converge Keeps 2026 Revenue Goal Amid Strong Internet Demand

Converge ICT Solutions, Inc. reaffirmed its full-year 2026 revenue targets, citing sustained broadband demand across residential and enterprise segments despite macroeconomic headwinds. The company highlighted continued household penetration gains in its service areas, positioning itself as a key beneficiary of the Philippines' accelerating digital infrastructure build-out. Foreign funds were net buyers of CNVRG on May 15, reflecting institutional confidence in the company's near-monopoly position in fixed broadband outside Metro Manila. Globe Telecom (GLO) also announced a push for "connectivity-ready building" infrastructure standards — a policy advocacy initiative aimed at embedding fiber-ready specifications into new real estate developments. (Source: BusinessWorld)

Analysis: *Converge's revenue guidance reaffirmation is a positive signal in an environment where many companies are revisiting assumptions. The company trades at a forward P/E of 13x — in line with Asian electric utilities peers — and offers a differentiated growth story based on fixed broadband penetration runway outside Metro Manila. Foreign buying on May 15 aligns with the company's improving free cash flow visibility. GLO's connectivity-ready building push, if adopted by regulators, would be structurally positive for both CNVRG and GLO by mandating fiber infrastructure in new developments.*

Stance: 🟢 **ACCUMULATE CNVRG — Revenue target reaffirmation and foreign buying signal resilience. GLO: 🟡 MONITOR on connectivity-ready building policy catalyst.**

[SGP] ERC Raises NGCP Revenue Cap to ₱380 Billion Through 2027

The Energy Regulatory Commission (ERC) approved a significant increase in the revenue cap for the National Grid Corporation of the Philippines (NGCP) to ₱380 billion through 2027, providing the transmission company — operated by State Grid Corp. of China and the Coyoitos/Sy-led local consortium — with a substantially expanded revenue ceiling. The decision has implications for electricity transmission charges and the overall cost structure of the Philippine power grid. Separately, SGP (San Miguel Global Power) appeared on the May 15 RSI overbought list at >70, and foreign funds were net sellers of the name during the session — suggesting near-term profit-taking pressure on energy sector names. (Source: BusinessWorld)

Analysis: *The NGCP revenue cap increase is a regulatory positive for NGCP stakeholders but a potential concern for electricity end-users, as transmission charges may rise. For the broader power sector, including SGP and generation companies, clarity on transmission tariffs provides better revenue-cost planning. SGP's overbought RSI reading and session-specific foreign selling suggest caution on near-term entry. Energy sector names broadly face mixed signals: oil above \$100 boosts upstream revenues but compresses downstream and consumer margins.*

Stance: 🟡 **MONITOR SGP — Overbought technical signal; await RSI normalization before adding. ERC ruling is a long-term grid investment positive.**

SMARTWATCH — ACTIONABLE IDEAS SUMMARY

TICKER	PRICE	STANCE	KEY CATALYST	SUPPORT	TARGET
AREIT	₱40.35	 ACCUMULATE	Q1 +23.8% NI; ₱0.62 div; Ayala Cebu/Feliz swap pending	₱40.55	₱43.65
ROCK	₱2.01*	 ACCUMULATE	Q1 +67% NI; ATC fully contributing; premium resi demand intact	₱1.85	₱2.50
PGOLD	₱45.85	 ACCUMULATE	Q1 +23.7% NI; SSSG +5.4%; S&R +12%; margin expansion	₱44.00	₱50.00
MER	₱630.00	 ACCUMULATE	Q1 core NI +2%; SPI 200MW deal; MTerra Solar online	₱610.00	₱680.00
CNVRG	Market	 ACCUMULATE	2026 guidance reaffirmed; broadband demand resilient; foreign buying	Support	Target
RRHI	₱48.30*	 TENDER	July 28 delisting; 32% VWAP premium; 41% below NAV per Abacus	Tender Offer	₱48.30
JFC	₱140.60	 MONITOR	Q1 NI -39% on cost inflation; revenues +9%; Highlands IPO on track	₱135.00	₱160.00
TEL	Market	 MONITOR	Core NI +2%; data growth steady; Radius Telecoms acquisition pending	Monitor	₱1,950
GMA7	₱5.14	 AVOID	Q1 NI -87%; election ad base effect; structural TV advertising decline	—	—
PIZZA	₱6.30	 AVOID	Q1 NI -27%; flat SSSG despite expansion; input cost headwinds	—	—

* ROCK price as of most recent trading session. RRHI price reflects tender offer level. All prices and technical levels for reference only. Past performance does not guarantee future results. DAMS does not guarantee the accuracy of third-party data. Investors should conduct their own due diligence.

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